Module 4: Acquiring Customers, Part II: Owned and Earned Media

Module Takeaways

The key takeaways in this module include:

- Understand owned media and how firms use it to acquire customers.
- Identify situations for which owned media is best suited.
- Identify earned media's unique benefits and its synergy with paid and owned media.
- Understand how a company can incorporate earned media into its marketing plan and strategically deploy it towards customer acquisition goals.
- Understand the process of working with influencers, and how to manage and measure their impact.
- Understand the synergy between paid, owned, and earned media.

Owned Media: Benefits

Owned media refers to the media assets that a company owns, including company websites, blogs, apps, and presence on social media. Offline owned media includes media such as brochures and newsletters.

The unique benefits of owned media:

- Allows more control over message
- Enables setting brand tone/look/feel
- Builds deeper relationships with customers
- Works at all stages of the marketing funnel
- Allows greater creativity for brand-building

Organic Links

One of the primary goals of owned media strategy is to improve the odds that your site shows up at or near the top of the **organic links** shown by search engines like Google. Being on the first page of results makes it more likely for someone to click on your link, and being at the top of the first page increases the likelihood even more.

Ensure that Search Engines Show Your Website

Search engines like Google rank organic search results according to two criteria: **relevance and authority.** Google determines relevance based on the content on a website and its match with the search terms of consumers. Among all the relevant websites, Google chooses the site that has the highest authority based on how many other sites refer to or link to the site for a particular topic.

The process of improving a company's relevance and authority to increase its odds of ranking higher in organic search is known as **Search Engine Optimization (SEO).**

An important part of search engine optimization is to build up your company's website with content that the search engine algorithms see as relevant. In other words, the content on your website—such as headings, blog posts, or other information—should incorporate **keywords** that will draw traffic.

Challenges of Owned Media

- Paid media often generates immediate returns that are easily attributable to specific ads, while owned media can have a longer turnaround time before results become apparent.
- Owned media can sometimes be challenging for companies internally, as marketers may need to convince management that the investment in content creation is worth it.

Search Engine Optimization (SEO)

Search engine optimization (SEO) is one of the most important tools to increase discovery of and engagement with brands without spending more on paid media.

There is a broad set of techniques for increasing relevance and authority that can be used in SEO. **The three pillars of SEO are:**

- **Technical optimization:** Ensuring that your site is easily accessible and readable to search engines and loads quickly.
- **Content optimization:** Ensuring that you have content that is the most relevant to what a consumer may be searching for and that is relevant to your brand and business. The right content enhances your relevance to a search engine's algorithm.
- **Link optimization:** Encouraging other websites to link to your site to gain authority.

Owned Media: Content Strategy

Content strategy and content optimization are critical to ensure that your site is relevant to consumers' searches. It also allows you to engage customers with compelling stories. Content can take many forms—images, videos, or text—and can appear on various channels, such as websites, blogs, white papers, and social media.

Content needs to be closely tied to your overall marketing strategy, in particular your **target audience and value proposition.**

Key Considerations When Creating Content

- **Who will be reading or watching your content?** Who is your target audience?
- **What problem are you trying to solve for consumers?** What might your target customers be searching for?

- **What makes you unique?** Your content should highlight your unique value proposition.
- **What should be the format and nature of content?** Content could be a blog post, a description on your website, a video, a podcast, an image, or a testimonial. The choice depends on the format that best allows you to tell your story and is most suitable for your target customer.
- **Which channels will you publish or distribute your content on?** Content may live on a company's website, social media channels, or other channels. This choice depends on the format of the content and where your target customers are most likely to visit.
- **How will you refresh, measure, and optimize your content?** You need to decide how often to refresh your content, how to measure its effectiveness, and how to optimize the content over time. The frequency with which you refresh your content depends on the nature of your business. Content optimization also requires making changes to the content to improve its effectiveness on relevant metrics. This often requires frequent testing.

Keyword Research

Keyword research is critical to find what your target customers are looking for. Keyword research is akin to the marketing funnel. At the very top of the funnel, you have broader terms, and you get more specific as you go down the funnel and use long phrases.

- At the top of the funnel, keywords are short:1-word or 2-word, high-volume phrases (example: vacation spots).
- As you move further down the funnel, words get more specific (example: family vacation spots good for kids) as you begin to see purchase intent.
- The bottom of the funnel consists of lower volume, longer phrases with higher conversion rates (example: deals on family vacation spots in March near me).

Typically, in SEO, you should start at the bottom and work your way to the top. The top of the funnel is exponentially more competitive than the bottom of the funnel. At the top of the funnel, everyone's trying to go for volume—that's where the majority of searches are. At the bottom of the funnel, the search gets narrower and more specific. The volume isn't as high, but the conversion rates are much higher at the bottom than at the top.

Email Marketing

Email marketing is used for both existing customers as well as prospects. Companies often encourage prospective customers to share their emails by giving them some bonus in return.

Emails can be effective ways to generate leads at the top of the funnel; they can also be effective at converting consumers who started buying online but abandoned the cart; and they can also be useful in encouraging existing customers to buy again.

Email marketing can have a variety of goals but is commonly thought of by marketers as an important channel to build relationships and educate prospective and existing customers, often through personalized email content.

Although often thought of as a tactic suited for customer engagement, email can be appropriate for customer acquisition as well.

Benefits of email marketing include:

- Can be cost effective because a company can reach consumers without paying ad dollars to Google or Facebook
- Allows full control over the message
- Includes a CTA (call to action) to prompt the reader to do something like clicking a button for a sale or promo code
- Allows your audience to receive more information as they consider your brand, and it gives them more opportunities to purchase.

Earned Media: Monitor, Participate, and Leverage

Companies can “earn” media when customers voluntarily discuss a company’s products and services with each other, generating valuable publicity in the process. Social media platforms have created more opportunities than ever for earned media to blossom.

Benefits

- Earned media is powerful because consumers tend to view third-party reviews as more authentic than messages coming directly from companies.
- Earned media is an important resource that marketers should consider to acquire and engage customers. It amplifies the message without spending any money.
- Companies can be intentional about leveraging earned media as a tool for customer acquisition strategy.

Challenges

- Earned media comes with a lack of control. Because this form of publicity is generated by external parties, brands ultimately have a less direct role in planning, shaping, and distributing earned media. But this doesn’t mean that marketing teams can’t do anything to steer the conversations about their brands.

Companies can successfully engage with earned media in five ways: **monitor, participate, leverage, manage, and measure.**

Monitor

Monitoring earned media is the practice of observing and understanding consumers’ attitudes and behaviors about your products and your company. Social media provides a tool that consumers can use to share their honest views about your product or service, and this is a valuable source of customer insight for a company.

- Monitoring consumers on social media can provide a real-time gauge of how customers perceive a product or service, allowing a company to take corrective actions and even providing ideas for new products.
- Social media provides a free and unfiltered forum for companies to become aware of and understand their consumers’ attitudes and behaviors.

Participate

Instead of passively monitoring consumers' social media posts, companies can actively participate in these conversations by being present and active in earned media spaces.

- Active participation in earned media channels allows you to react quickly to current events. This tactic can turn a news-worthy event into a powerful marketing opportunity.
- Companies can also moderate earned media channels by asking questions that can provide valuable insight.
- Companies can use earned media channels as spaces that produce marketing material for other channels.

Leverage

Leveraging is how you amplify the positive messages around your brand and create brand advocates. Armed with the knowledge gained from monitoring and participating, companies can leverage earned media to amplify messages towards their marketing goals.

- Amplification is indirect; it comes from consumers organically sharing messages among themselves. To influence which messages are amplified, you need to understand why consumers share content and what content they like to share.
- Understanding why consumers share content and what content they choose to share can inform companies on how to present consumers with messages they are likely to amplify.

Earned Media: Manage and Measure

Earned media can enhance a brand through brand advocates, or it can damage a company's reputation if a few vocal consumers with large followings comment negatively. It is important to be prepared to manage both positive and negative messaging that gains traction in earned media channels.

Manage

- While earned media can be powerful when consumers share positive things about a brand, it can be just as powerful when they share negative comments.
- One of the best defenses against negative customer reactions is having strong brand advocates.
- Negative reviews can be quite damaging; they are hard to predict and companies should be ready to respond quickly. It is the responsibility of companies to anticipate and avoid these disasters.
- One other thing to be aware of is that earned media can portray a marketplace that doesn't truly exist.

Measure

Earned media can be challenging to measure, but there are ways to quantify its impact. It can be difficult to measure the impact of earned media conversations on sales for two reasons:

- **Self-selection:** Typically, users who either love or hate a product are likely to be vocal on social media, but there is a silent majority who may not share the views of this vocal minority.
- **Homophily**: People with similar preferences tend to belong to the same groups. This behavior makes it difficult to trace causation. When it comes to measuring the impact and reach of earned media, the bias from self-selection and homophily can inflate the effectiveness of earned media.

Because of these challenges, most companies measure earned media using metrics such as number of views, likes, or shares rather than sales.

Companies often convert these metrics into the amount of money they would have to spend to expose an equivalent number of customers to their message via paid media.

Influencer Marketing

Influencers have a significant following on social media and have the power to influence purchase decisions of their followers. Influencer marketing is an increasingly significant part of digital marketing strategy for companies.

Tiers of Influencers

There are different tiers of influencers based on the number of followers. **Top-tier "macro" influencers** have many followers and are very good for getting lots of views. **Mid-tier influencers** and **micro-tier influencers** help drive consideration and conversion further down the funnel. Companies should think about how to allocate their budget to influencers based on the marketing funnel stage they are focused on:

- **Macro influencers** will get many views and reach a mass audience but may not be as targeted and will also cost more. Contracting these influencers can be good for an **awareness campaign.**
- **Mid-** and **micro-tier influencers** have a more personal relationship with their audience and may have more interaction with their followers. The influential power is higher. These influencers can be a good option if you are focused on **engagement** or **consideration.**

Unpaid Influencers: Companies can also decide not to recruit paid influencers. Some influencers choose to endorse a brand simply because they love it. This authenticity makes their endorsement especially compelling.

Influencer Partnerships

Companies will want to evaluate whether an influencer is an audience-brand match. When determining whether to work with an influencer, marketers should ask for an influencer's audience demographics, what platforms they create content on, and their data analytics.

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Also consider the influencer's productivity and authenticity of content. Does the influencer combine paid branded content with unbranded organic content?

Factors to consider in influencer partnerships:

- Number of followers
- Authenticity of endorsements
- Engagement of followers
- Consistency in posting
- Quality of content
- Alignment to brand values
- Relevance to target audience
- Exclusivity (they agree to create content for only your company or category)

Risks in working with influencers:

- Fake followers, views, or likes, or fake sponsored brand content
- Inconsistency between influencers' personal behavior and the values of your brand
- Lack of full control over how an influencer behaves on social media
- Legal and ethical issues: Make sure your influencer partners work legally and ethically. This includes ensuring that your influencer discloses brand partnerships and that they do not act in a way that is dishonest or takes advantage of their followers.

Measuring the Influencer Relationship

Consider the benefits of multi-platform, long-term relationships with influencers.

- **Multi-platform:** Consider where the influencer is appearing in both online and offline channels such as TV, radio, or podcasts. This approach might help a brand increase awareness and credibility.
- **Long-term relationships:** A long-term relationship helps an influencer get to know the nuances of a brand and its audience, and it helps the brand learn how best to use an influencer for maximum impact. It also builds credibility and impact of the message as the influencer becomes an expert on that brand and category, and their followers don't see the sponsored content as a quick money-making effort.

Contracting

Determining what to pay an influencer begins by pricing on reach (how many followers they are reaching). There are other aspects to consider.

- Depending on your goals, you might consider engagement to be an important metric and weigh it more in the cost of partnering with an influencer. Or you might pay based on performance, depending on the cost-per-click they get.
- How much you pay influencers also depends on the competitive landscape. How much are similar businesses paying for their influencers? Are these celebrity influencers or micro influencers?
- It is also useful to understand what you can offer influencers apart from money to help them build their social capital.

Managing

To maintain the authenticity of influencers, you don't want to exert too much control over them. But ceding control comes with the risk of influencers publishing potentially sensitive posts or posts that you might not approve of as a brand.

Measuring Effectiveness

You can measure the effectiveness of your influencer partnerships and how they advance your goals at all points of the marketing funnel in many ways. You can measure:

- How influencer marketing is impacting your awareness by measuring the reach of the media shared and by surveying brand perception.
- Your engagement via metrics such as comments, website traffic, organic searches, or the time consumers spend on your site.
- Your sales conversions through purchase data and affiliate links.

But not all influencer partnerships are profitable. You must measure what is helping advance your goals and what is not. That said, influencer marketing has potential to reach untapped markets and customers and increase the favorability and credibility of your products.

Synergy Across Paid, Owned, and Earned Media

Customer acquisition strategy is not complete unless it takes all three categories of media—paid, owned, and earned—into account within the context of the company's goals and strategy.

It is important to constantly evaluate your approach and change course whenever results indicate that doing so is necessary.